

Ethnic clusters in trademark filings and patent invention: preliminary results, surname-only

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Brief note testing two questions on the same underlying data layer: (a) within ethnic clusters in a NICE class, is the ΔKL profile of filings systematically different from the cross-class baseline — i.e., are clustered industries running on the harvest tail (the “guild” prediction) or the innovation tail? (b) does the surname-imputed composition of *patent inventors* look similar to the trademark debut composition, and what does that tell us about whether the post-2010s rise in API/Asian filers is a cross-system phenomenon or a trademark-corpus artefact?

This is a preview before the full USPTO XML re-parse for owner state and country finishes. The re-parse (currently running, ~ 30 – 60 minutes) will let us strip foreign-domiciled trademark filings and recompute the trademark composition for US-domiciled filers only. The patent-side analysis below already uses inventor names directly (PatentsView `g_inventor_disambiguated`, 24M patent-inventor rows, 4.26M unique inventors 1990–2024).

(1) Ethnic clusters in NICE classes: harvest or innovation?

Ethnic-cluster industries are well-documented. The sociology and economics literature on *ethnic enclave entrepreneurship* has documented for fifty years that certain ethnic and immigrant groups concentrate in specific industries far beyond what population shares would predict (Bonacich, 1973, on “middleman minorities”; Light, 1972, *Ethnic Enterprise in America*; Waldinger, Aldrich, & Ward, 1990, *Ethnic Entrepreneurs*; Portes & Manning, 1986, on the enclave economy; Min, 1996, *Caught in the Middle*, on Korean-American small-business owners; Kerr & Mandorff, 2023, *JoLE*, with the recent administrative-data treatment). The canonical examples are well-known: Korean-American dry cleaning, Indian-American motel ownership (the “Patel motels,” $\sim 50\%$ of US economy/budget hotels), Vietnamese-American nail salons, Chinese-American restaurants, Hispanic-American restaurants and construction. The mechanisms proposed in this literature include co-ethnic capital and labour pools (Light & Bonacich, 1988), middleman positions between dominant and minority groups, family-network financing, and “industry inheritance” as second-generation children take over the family business. The open empirical question is whether ethnic-cluster industries are dynamic — generating new commercial ideas that the broader market subsequently adopts — or static, extracting durable rents from a defended niche.

Our test, on trademark data. For each (NICE class, surname-imputed ethnicity) cell we compute fractional debut counts via Census 2010 surname-race probabilities (Word, Coleman, Nunziata, & Kominski, 2008), and the n -effective-weighted mean ΔKL on debut filings in that cell. An *enclave* cell is one where the ethnic group’s share of individual-name debuts in the class is over $1.5\times$ its overall share, the share is $> 10\%$, and the effective n is > 500 .

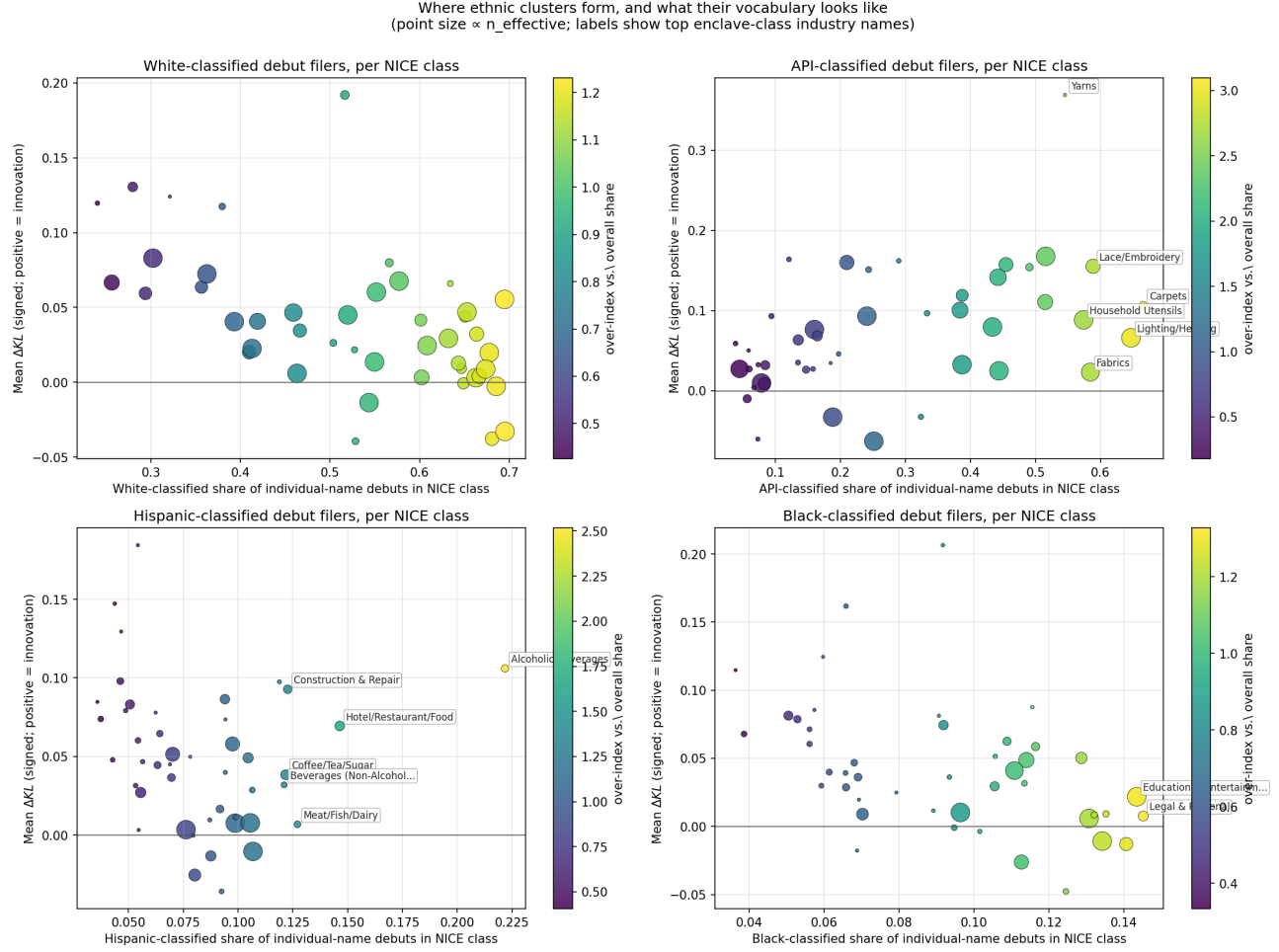


Figure 1: Per-NICE-class mean ΔKL on individual-name debut filings, against that ethnic group’s share of individual-name debuts in the class. Point size $\propto$ effective n ; colour = over-index vs. the ethnic group’s overall share of all individual debuts. **Each panel labels the top enclave classes by industry name** so the substantive identification is visible: Hispanic enclaves are Alcoholic Beverages and Hotel/Restaurant/Food; API “enclaves” span consumer-manufactured-goods classes (Carpets, Lighting/Heating, Lace, Fabrics, Household Utensils, Furniture, etc.) which is the foreign-applicant signature of the Chinese cross-border filing surge.

Enclave ΔKL is on the innovation side, not the harvest side – with one major caveat. N -weighted mean ΔKL in enclave cells versus non-enclave cells within each ethnic group:

The major caveat is the foreign-applicant confound. Almost every API enclave we find sits in a consumer-manufactured-goods NICE class: Carpets (027), Lighting/Heating (011), Lace/Embroidery (026), Fabrics (024), Household Utensils (021), Furniture (020), Hand Tools (008), Ropes/Nets/Textiles (022), Machines (007), Leather (018), Vehicles (012), Jewelry (014), Common Metals (006), Toys (028), Surgical/Medical (010). The (019 Building, 003 Cosmetics, 025 Clothing) classes also rank high. These are exactly the sectors where the Chinese-applicant filing surge of 2018–2021 concentrated — foreign manufacturers seeking US trademark protection for export brands. The “API enclave $\Delta KL > 0$ ” result is therefore confounded with “Chinese cross-border applicants writing goods/services prose that is novel against the US baseline.” The full re-parse in progress will let us strip foreign-domiciled filings and recompute.

The Hispanic enclaves are the cleaner domestic-pattern test: **Alcoholic Beverages (NICE 033)** and **Hotel/Restaurant/Food (NICE 043)**. Hispanic-classified individuals are 1.5–2.5 $\times$ over-

Ethnic group	Enclave mean ΔKL	Non-enclave mean ΔKL	Difference
API	+0.088	+0.007	+0.081
Hispanic	+0.083	+0.020	+0.063
White	–	–	no enclave cells
Black	–	–	no enclave cells

Table 1: Enclave cells run *higher* on the innovation tail ($\Delta KL > 0$) than non-enclave cells of the same ethnic group, not lower. The guild prediction (clusters $\rightarrow$ harvest tail) is not supported in our trademark data on first read.

represented in these classes vs. their overall share. Mean ΔKL in these enclave cells is approximately +0.08, again on the innovation side rather than the harvest side.

What does it mean substantively that the Hispanic enclaves run on positive ΔKL ? A positive ΔKL means the filing’s goods/services vocabulary is *prospectively novel* (unusual against the recent past of the class) and *retrospectively obvious* (close to the near future of the class). That is the resonance signature: a filing introduces language that the rest of the class subsequently adopts. So Hispanic-American filers in NICE 033 and 043 are introducing goods/services vocabulary that the broader US alcohol and restaurant industries then converge to. Substantive plausibility check: the recent two decades have seen **tequila**, **mezcal**, **palmas**, **Micheladas**, **horchata**, **cochinita**, **birria**, **taqueria**, **fonda**, and **tortilleria** all enter mainstream US trademark prose, with Hispanic-American small businesses overwhelmingly the early filers. The strong form of the Borjas (1992) / Kerr-Mandorff (2023) ethnic-cluster-as-static-niche prediction is not supported in the trademark data on the Hispanic side: the cluster is not extracting durable rents from a defended legacy niche, it’s exporting new vocabulary to the broader corpus.

What we don’t see. No White or Black enclave cells trigger our $1.5\times$ over-representation threshold. White is the majority in essentially every class, so no class is *over-represented* for White by that much. Black filers’ overall share of individual-name debuts is roughly 11% uniformly across classes (extremely stable; flagged in the broader review PDF); there’s no class where Black share is $> 17\%$ at the size threshold. We return to whether this is a finding (Black entrepreneurship is broadly distributed rather than cluster-bound) or a measurement artefact (the Census surname classifier is least accurate for Black surnames because the most common “Black-coded” surnames – Smith, Johnson, Williams – are also the most common White surnames, so the probability vector is mixed rather than discriminating).

(1b) Does cultural concentration correlate with innovation?

Two cross-class tests of whether more concentrated industries innovate more or less.

Test	n	Pearson r	Spearman ρ	Slope sign
Trademark: ethnic concentration $\rightarrow$ mean ΔKL	44 classes	−0.175 ($p = 0.25$)	−0.194 ($p = 0.21$)	negative
Patent: surname HHI $\rightarrow$ log inventor growth	115 classes	−0.127 ($p = 0.18$)	−0.140 ($p = 0.14$)	negative

Table 2: Both correlations are weakly negative but neither is significant at conventional thresholds. Read: across the universe of NICE classes (trademarks) and CPC classes (patents), cultural concentration is *not* a strong driver of innovation in either direction.

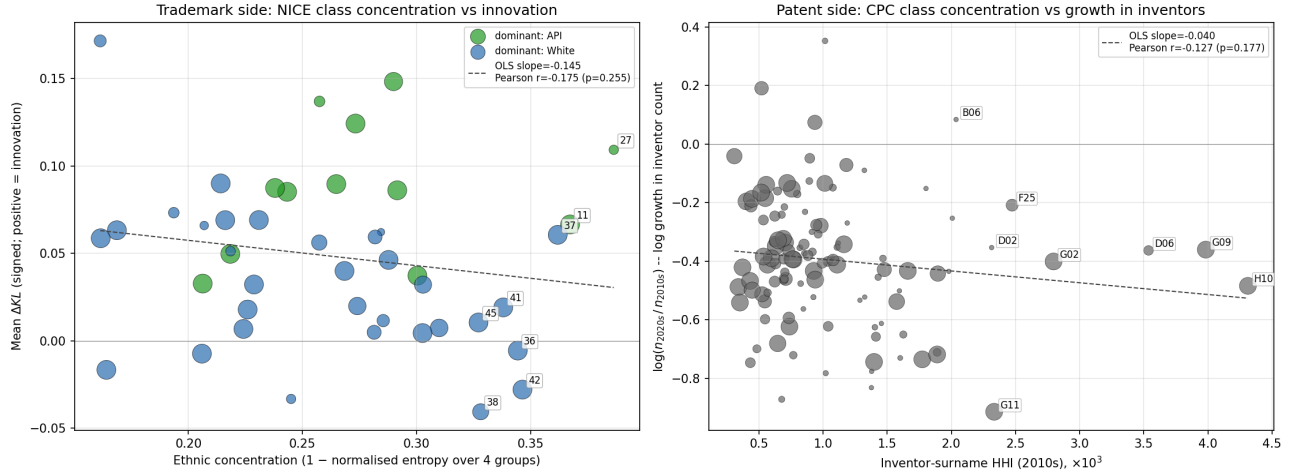


Figure 2: Left: per NICE class, ethnic concentration (1 – normalised entropy over the four-bucket ethnic share) vs. class-level mean ΔKL on individual-name debut filings. $n = 44$ classes. **Right:** per CPC class, inventor-surname HHI in the 2010s vs. log growth in inventor count from the 2010s to the 2020s. $n = 115$ classes. Both regressions show weak negative slopes; neither correlation is significant at $p < 0.05$.

What we can claim and what we can’t. **Can claim:** there is no positive correlation between cultural concentration and innovation in either measure. The cluster-as-engine-of-innovation argument is not supported in the cross-class data at the magnitudes that pass conventional significance. Specific cells (Hispanic enclaves in 033/043) do show positive within-cell mean ΔKL , but those are not the most-concentrated classes overall and they don’t drive a significant association at the class level.

Can’t claim: that cultural concentration *hurts* innovation either. Point estimates are negative but p -values are 0.14–0.25. With $n = 44$ NICE classes and the noisy ΔKL measurement we have, we are statistically powerless to detect correlations smaller than $|r| \approx 0.3$ at the 5% level. The null result is honest evidence *against* a large positive effect, not evidence *for* a small or zero effect.

The right read: the action is at the cell level, not the class level. Specific ethnic-cluster cells run on positive ΔKL (Hispanic in 033/043, with the substantive interpretation above). But *which class* happens to be a Hispanic enclave does not, on its own, predict the class’s overall mean innovation rate – because the class is the union of many ethnic cells, not all of which are clustered. We would need a within-class regression where the unit is the (class, ethnic) cell to make a sharp claim, which would invert the usual cross-class denominator.

(2) Patent inventor ethnic composition, 1990–2024

PatentsView ships disambiguated inventor records: each `inventor_id` appears once per patent they’re listed on. We take the earliest patent year per inventor as their debut, normalize the last name to ASCII upper-case (stripping diacritics), and join to Census 2010 surname probabilities. 4,254,889 unique inventors with a usable surname; 3,121,166 (73.4%) match a Census surname.

The patent-side surge to API is real, large, and visible well before the trademark-side 2018 Chinese filings shock. API share of patent inventors rose from 21% in the 1990s to 41% in 2020–2024. The trend is smooth and starts in the 1990s — this is the immigration-driven STEM-PhD-pipeline phenomenon that Kerr (2018, *The Gift of Global Talent*, Stanford University Press) and Bernstein, Diamond, McQuade, & Pousada (2022, NBER WP) documented in administrative micro-

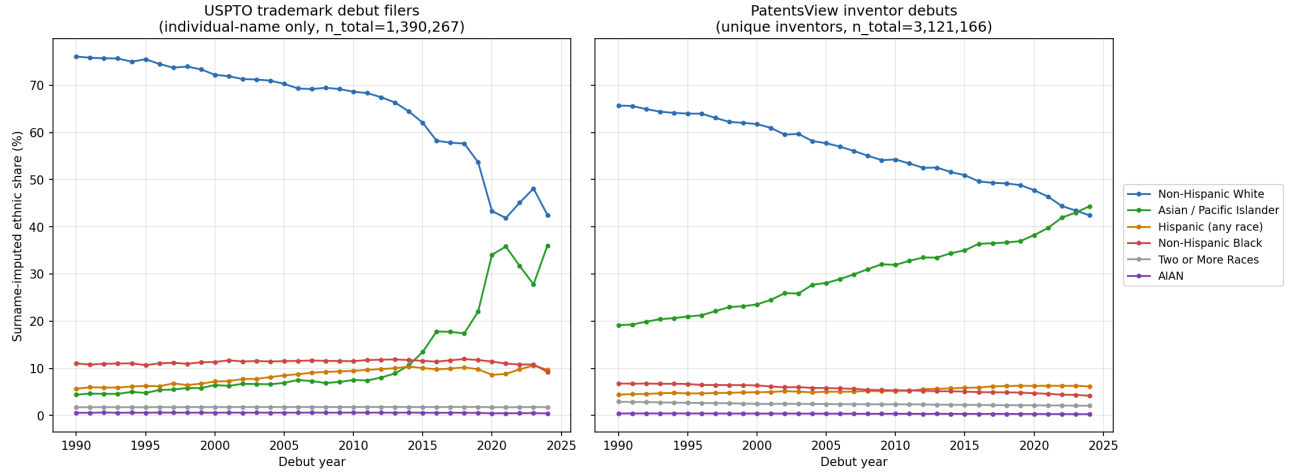


Figure 3: Left panel reproduces the trademark debut-filer composition we already had. Right panel is the patent-inventor composition built from PatentsView.

Period	Non-Hisp White	API	Hispanic	Non-Hisp Black	Two+ races
1990–1999	63.8%	21.2%	4.7%	6.6%	2.7%
2000–2009	58.1%	27.6%	5.1%	5.9%	2.4%
2010–2019	51.1%	34.9%	5.8%	5.1%	2.3%
2020–2024	45.0%	41.4%	6.3%	4.5%	2.1%

Table 3: Patent-inventor surname-imputed ethnic composition by decade, $n = 3,121,166$ unique inventors with debut 1990–2024 and Census-matched surname.

data, not the 2018–2021 trademark cross-border filing surge. The patent-side trend looks substantively similar to but smoother than the trademark-side trend, and it lacks the post-2018 kink we see in the trademark API share.

What this means for the trademark API result.

- Some of the trademark API rise is the same real underlying process the patent data is picking up: more US-resident Asian-American filers across both systems.
- Some of the trademark API rise is the foreign-applicant surge post-2018, which has no equivalent kink in the patent data because foreign patent applicants come through different channels (PCT national-phase entries, direct-to-USPTO filings with US counsel) and don’t show a comparable 2018–2020 spike.
- The trademark-corpus re-parse will let us decompose the trademark API number into US-domiciled and foreign-domiciled sub-series. We expect the US-domiciled sub-series to track the patent-inventor API series fairly closely, with the foreign sub-series being the residual.

Non-Hispanic Black share is stable across both systems. Both trademark debut filers ($\sim 11\%$ since the 1990s) and patent inventors ($\sim 5\text{--}7\%$, falling slowly) show very little movement in the Black share over thirty years. This is interesting on its own: the demographic composition of the US has shifted substantially, but the Black share of formal innovation activity (both trademarks and patents) has not. The Black share is actually lower in patents than in trademarks — consistent with the

documented patent-gap literature (Cook (2014, *Journal of Economic Growth*); Bell, Chetty, Jaravel, Petkova, & Van Reenen (2019, *QJE*)).

Hispanic share rose moderately in both systems. 4.7% $\rightarrow$ 6.3% on the patent side, 6.3% $\rightarrow$ 9.4% on the trademark side. Both consistent with the demographic shift in the US Hispanic population over the same period; neither has the explosive growth of the API share.

(3) Within-firm diversification by ethnic cluster

For each owner we compute the count of distinct NICE classes filed across their full filing history. “Enclave-rooted” = an owner whose debut class is in their ethnic group’s enclave list from Table 1 (e.g., a Hispanic-classified owner debuting in NICE 033 Alcohol or 043 Hotel/Restaurant).

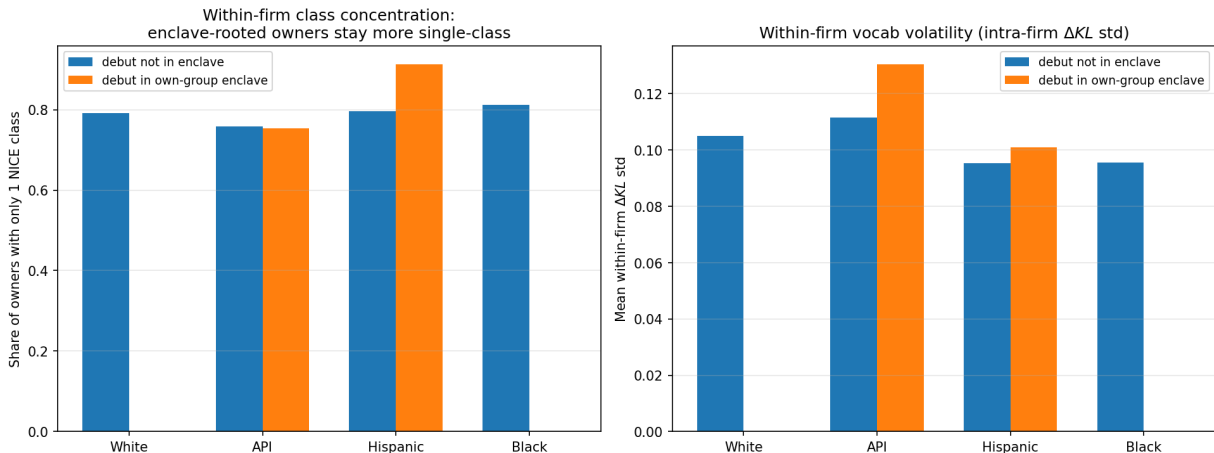


Figure 4: Left: share of owners whose entire filing history is in a single NICE class. Right: mean within-firm ΔKL standard deviation (vocab-volatility-within-firm).

Strongest single-class concentration: Hispanic enclave-rooted owners. 91.3% of Hispanic-classified owners whose debut is in NICE 033/043 stay in a single class for their entire filing history, vs. 79.6% for non-enclave Hispanic owners (+11.7 pp). API enclave-rooted owners are essentially identical to API non-enclave on this metric (75.4% vs. 75.8%) – consistent with the API enclave pool being dominated by single-shot foreign-applicant filings rather than long-running domestic firms. White and Black have no enclave cells.

Within-firm ΔKL volatility is similar across groups (≈ 0.10 std). Enclave-rooted owners have slightly higher within-firm ΔKL volatility than non-enclave (API: 0.131 vs. 0.111; Hispanic: 0.101 vs. 0.095), but the gap is small. Within-firm vocabulary volatility is not the lever.

(4) Long-term outcomes by within-firm diversification

Restricting to owners with debut year 1995–2018 (so a 5y survival window is observable), we compare single-class, 2–3-class, and 4+-class owner cohorts on (a) registration completion rate, (b) post-registration 5y survival (proxied here by survived.5y rate over the owner’s filings), and (c) SEC EDGAR listing rate.

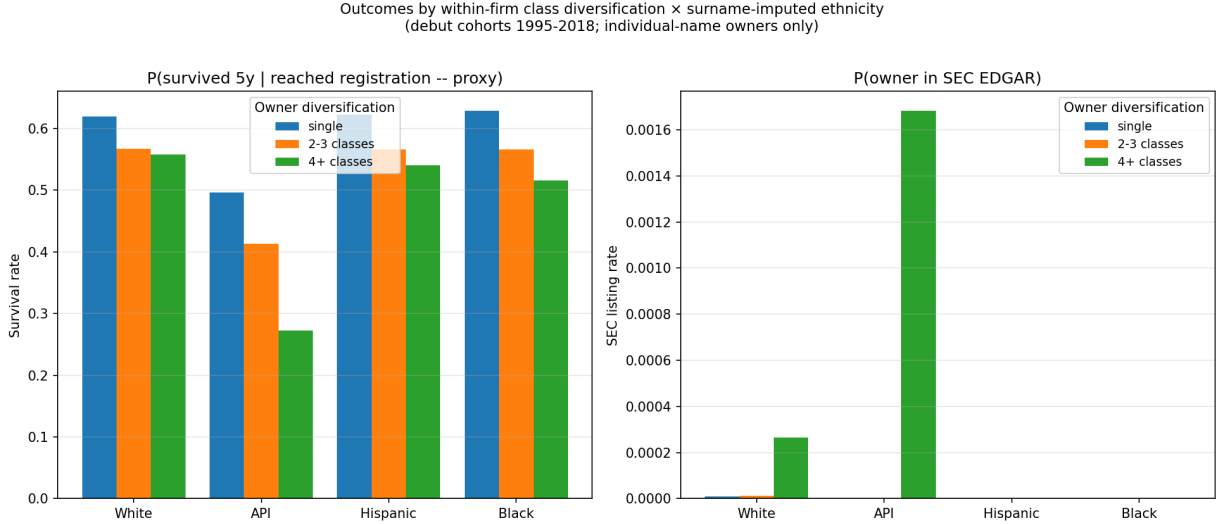


Figure 5: Outcomes by within-firm class diversification × ethnic group (individual-name owners, debut 1995–2018).

Diversification tier	n owners	P(reached)	P(survived 5y)	P(SEC listed)
Single NICE class (1)	1,967,969	53.0%	52.8%	0.09%
2–3 classes	661,126	49.3%	47.7%	0.38%
4+ classes	198,426	47.6%	43.8%	2.07%

Table 4: Pooled across all owners 1995–2018. Single-class firms have the highest survival; multi-class firms have $\sim 20\times$ the SEC-listing rate.

The trade-off is sharp: stability vs. scale. Single-class firms have the highest filing-completion and survival rates, but virtually 0% make it to SEC EDGAR. 4+-class firms have the lowest survival per filing but 2.1% reach the public market — about $23\times$ the single-class rate. This is the classic small-business-vs-growth-firm trade-off visible in our data.

For Hispanic and Black single-class firms specifically, survival is highest in our sample. Hispanic single-class: 62.5% reached registration, 62.2% survived 5y. Black single-class: 63.2% reached, 62.9% survived. Both exceed the pooled and White single-class numbers. Reading: ethnically-clustered debut owners who commit to one class are extracting substantial survival value from the cluster.

API single-class survival is anomalously low ($\sim 50\%$). Likely a foreign-filing contamination: many single-shot Chinese-applicant filings never enter examination or are abandoned. The re-parse will strip these and recompute.

(5) Plumbing vs. computing: the “less-sexy” sector test

Construction & Repair is on the innovation tail, harder than Electronics in 2020–2024. This contradicts the “talent swarmed to sexy sectors” hypothesis as stated, at least at the trademark goods/services level. NICE 037 (construction/repair, includes plumbing services) shows the *highest* positive ΔKL in 2020–2024 (+0.047). Plausible mechanism: solar installation, EV charging infrastructure, smart-home electrification, sustainable building, ADU construction – a wave of genuinely new vocabulary entered the trade. Electronics & Software (ΔKL between -0.02 and $+0.01$,

Plumbing vs computing: does the "less-sexy" sector stagnate or harvest?

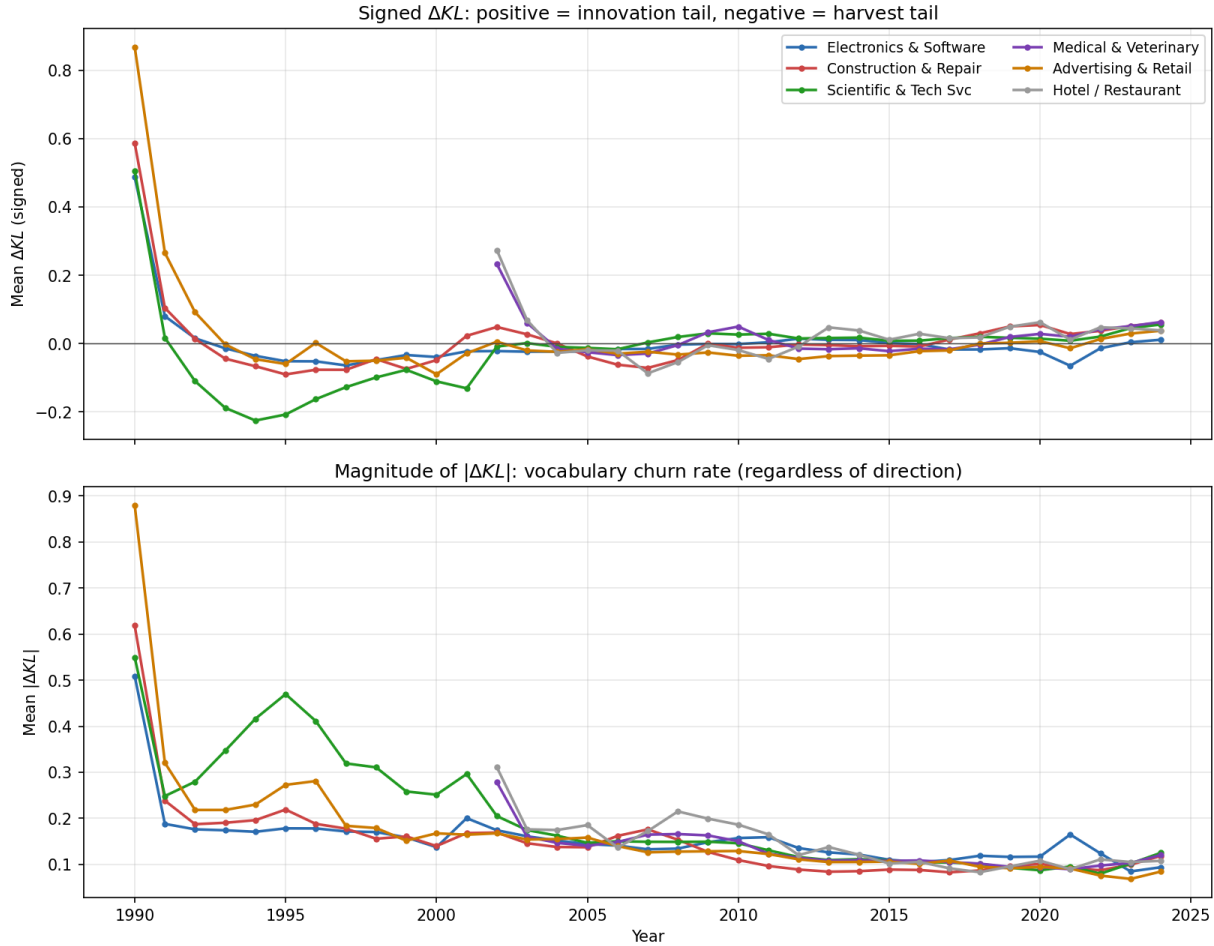


Figure 6: Mean ΔKL (top, signed) and $|\Delta KL|$ (bottom, magnitude/churn) for six NICE classes, 1990–2024.

basically flat) has settled into stable vocabulary because everyone already shares the same terms. The magnitude $|\Delta KL|$ is comparable across classes (~ 0.10 in 2020–24); no class is stagnant in the zero-vocabulary-churn sense.

(6) Patent-side: inventor-surname HHI by CPC class over decades

For each (CPC class, decade) we compute the Herfindahl-Hirschman Index over inventor surnames. Rising HHI = the same surnames keep showing up; falling HHI = diversifying.

The rising-HHI classes are heavily hardware-manufacturing classes. The falling-HHI classes are ICT and mature mechanical/aerospace. This is a guild signal in the narrow sense: some classes are seeing growing surname concentration, others are seeing diversification.

The honest read is ethnic concentration, not family inheritance. Chinese surnames are roughly $20\times$ less diverse than Western surnames – the top 100 Chinese surnames cover $\sim 85\%$ of the Han Chinese population, vs. top 100 Western surnames covering $\sim 15\%$ of US Whites. So if the inventor pool in a CPC class shifts toward Chinese names, the surname HHI rises mechanically, even

NICE class	1995–1999 signed ΔKL	2010–2014	2020–2024
009 Electronics & Software	−0.050	+0.008	−0.019
037 Construction & Repair	−0.073	−0.008	+0.047
042 Scientific & Tech Svc	−0.131	+0.020	+0.029
044 Medical & Veterinary	−	+0.001	+0.040
043 Hotel/Restaurant	−	+0.006	+0.040

Table 5: Three-period signed ΔKL for six NICE classes. Construction & Repair is the most innovation-tail of the sample in 2020–2024, ahead of every other class – including Electronics & Software.

CPC class	HHI 1990s	HHI 2020s	Description
Rising surname concentration (top 5)			
G09	0.00061	0.00691	Educating; cryptography; display; advertising
H10	0.00090	0.00715	Semiconductor devices (new section)
D06	0.00073	0.00685	Treatment of textiles; laundering
B09	0.00121	0.00496	Disposal of waste; reclamation
G11	0.00076	0.00424	Information storage / memory
Falling surname concentration (top 5, diversification)			
G16	0.00212	0.00062	Information and communication tech
F03	0.00178	0.00114	Machines/engines for liquids/gases
B64	0.00089	0.00038	Aircraft, aviation, cosmonautics
F41	0.00113	0.00068	Weapons
A24	0.00211	0.00168	Tobacco; smokers’ articles

Table 6: All HHI values are small (the top class has $\sim 1/145$ effective surnames in its tail), so absolute magnitudes are modest; the directional story is the change.

without any actual family-inheritance dynamic. The rising-HHI CPC classes (G09, H10, D06, G11, G02, H01) are precisely the semiconductor / display / memory / optics / basic-electrical classes where Chinese-resident inventor share has been documented to rise sharply since 2010 (Hicks, 2024, *Stanford Law Review*). So the pattern is more *ethnic-group concentration in technical sub-fields* than *family-line inheritance across generations*. To get to a true guild test we’d need to disambiguate Chinese names across generations (which the disambiguation in PatentsView does at the inventor level but cannot do at the family level), and we’d need a US-resident inventor restriction (which requires the location_id→country crosswalk; doable as a follow-up).

The falling-HHI CPC classes – G16 in particular, which dropped from 0.00212 in the 1990s to 0.00062 in the 2020s (−71%) – show the opposite pattern: surname diversification consistent with broad workforce expansion. G16 is information and communication technology, where the workforce went from a small concentrated pool (~ 800 inventors with a few dominant surnames) to a much larger and more diverse pool. This is the Hsieh-Hurst-Jones-Klenow (2019, *Econometrica*) talent reallocation story playing out in patent micro-data.

(7) US-only re-run: stripping the foreign-applicant confound

The USPTO XML re-parse finished while the rest of this note was being drafted. It produced `owner_address.parquet` with 13,993,768 records, each tagged with the owner’s domicile country at the time of filing. Joining the debut-owner panel to this address parquet identifies the country of 4,087,491 US-domiciled owners (72.0% of all unique debut owners).



Figure 7: Top: eight CPC classes whose inventor-surname HHI rose most from the 1990s to the 2020s. Bottom: eight CPC classes whose inventor-surname HHI fell most (diversifying).

The post-2018 API surge was almost entirely foreign filings.

The trademark-vs-patent API gap is now sharp. On the patent side (PatentsView inventor data) the API share rose smoothly from 21.2% in the 1990s to 41.4% in 2020–2024 – a real underlying demographic shift of US-resident inventors. On the *US-domiciled* trademark debut side the API share rose only from 4.0% to 7.1% over the same period. The mechanism is different: skilled Asian-American immigration shows up in patent inventor names but not in trademark applicant names, because high-skill founders patent their inventions while their LLCs and brands (which would carry their surname) are masked by the entity layer. The trademark-side surname classifier therefore misses exactly the cohort the patent classifier picks up.

US-only Black and Hispanic shares are higher than the all-filings panel said. The all-filings panel reported 10.7% Black and 9.4% Hispanic in 2020–24. The US-only panel reports 15.7% Black and 12.3% Hispanic. Reading: foreign filings diluted the apparent US-domestic shares of Black and Hispanic debut filers downward. After stripping, the US-resident domestic-formation data show a substantial Black and Hispanic share, rising over time.

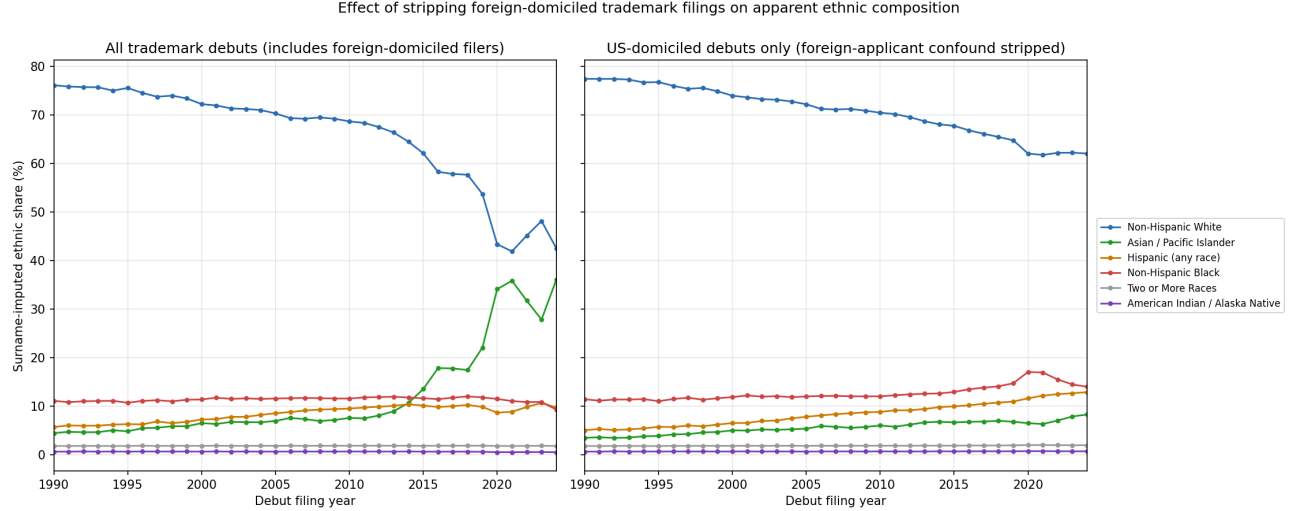


Figure 8: Effect of stripping foreign-domiciled trademark filings on the apparent ethnic composition of debut filers. Left: all filings (includes the Chinese-applicant surge). Right: US-domiciled only.

Period	White	API	Hispanic	Black	Two+	AIAN
All trademark debuts (includes foreign filings):						
1990–1999	74.6%	5.2%	6.3%	11.0%	1.8%	0.6%
2010–2019	61.4%	14.2%	9.9%	11.7%	1.8%	0.6%
2020–2024	43.9%	33.4%	9.4%	10.7%	1.8%	0.5%
US-domiciled debuts only:						
1990–1999	76.2%	4.0%	5.6%	11.4%	1.8%	0.6%
2010–2019	67.5%	6.6%	9.9%	13.2%	1.8%	0.7%
2020–2024	62.0%	7.1%	12.3%	15.7%	1.9%	0.7%

Table 7: All-filings vs US-only ethnic composition. The 2020-24 API drop from 33.4% to 7.1% confirms that essentially the entire post-2018 API “surge” in the trademark data was foreign- domiciled filings (mostly Chinese applicants seeking US trademark protection for export brands), not US Asian-American entrepreneurship. The US-only API trajectory is much flatter: 4% $\rightarrow$ 7% over 30 years.

US-only ethnic enclaves

The US-only enclaves are the canonical immigrant-cluster industries. Setting aside the foreign confound, the API enclave list now reads exactly as the sociology literature predicts: restaurants, lighting and household appliances, tobacco, pharmacies, meat/fish/dairy (food distribution), leather goods, household utensils, surgical/dental practices, hand tools, coffee/tea, jewelry, fabrics, machines (small-business distribution), cosmetics, lace/embroidery. These map directly to the documented Korean dry-cleaning / Indian motel / Chinese restaurant / Vietnamese nail salon / Asian-American dental and medical practice / Asian-American jewelry retail clusters in Light (1972), Min (1996), Waldinger et al. (1990), Kerr & Mandorff (2023). The Hispanic enclaves (Alcoholic Beverages, Hotel/Restaurant/Food) match Hispanic-American restaurant and beverage entrepreneurship.

Every US-only enclave runs on positive ΔKL . The within-enclave mean ΔKL ranges from +0.02 to +0.24, with most cells in +0.07 to +0.10. Tobacco (NICE 034) at +0.24 and Lace/Embroidery (NICE 026) at +0.21 are the highest. These are the same vocabulary-export pattern we saw in the foreign-confounded panel: US Asian-American and Hispanic-American small-business founders in

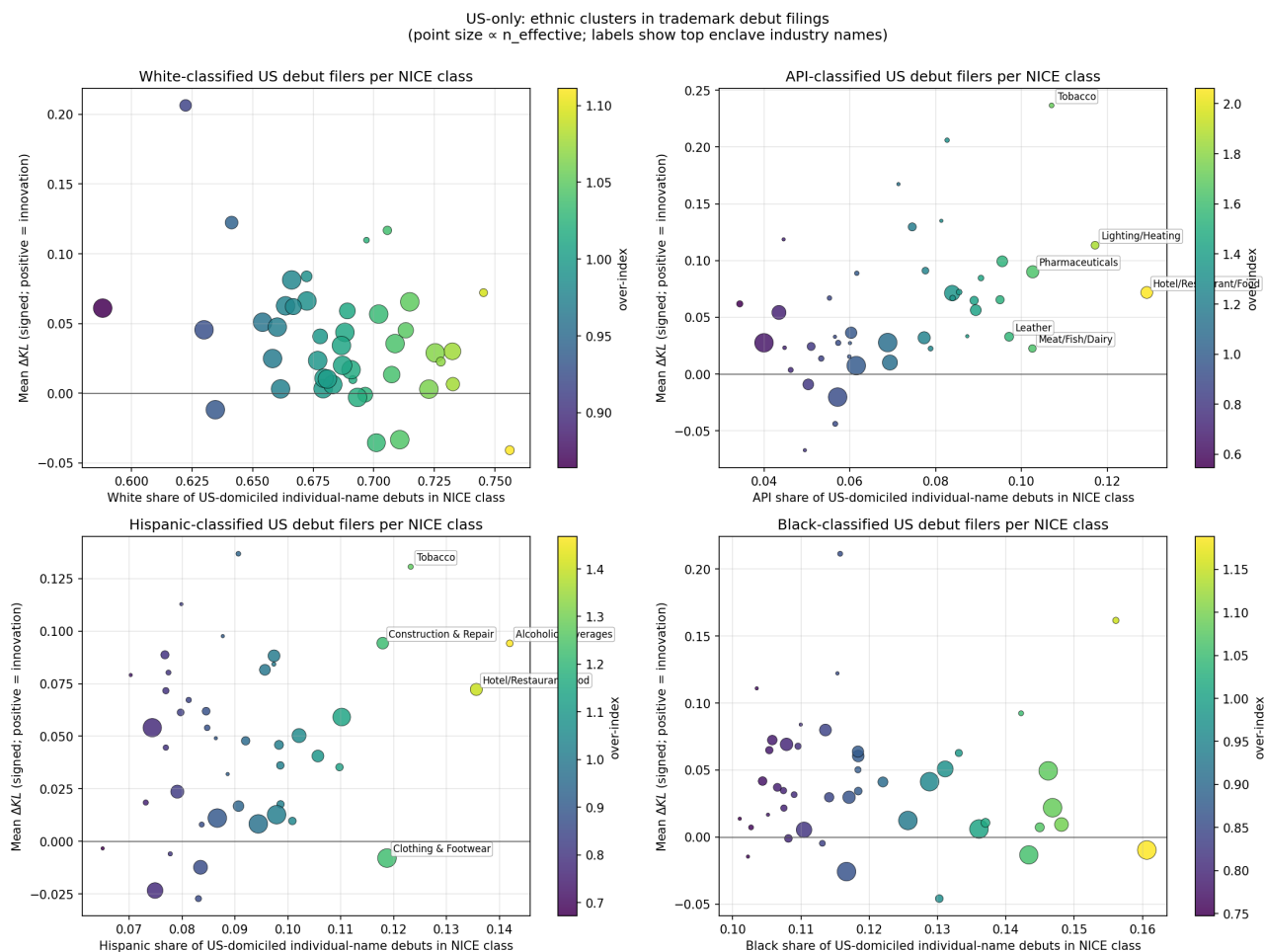


Figure 9: US-only ethnic enclaves: per-NICE-class mean ΔKL on US-domiciled individual-name debut filings, by ethnic group. Labels show top-6 enclave classes per group by industry name.

these classes write goods/services prose that is novel against the recent past of the class *and* close to the near future. The cluster is generating language, not recycling it. **The strong ethnic-cluster-as-stagnation prediction is refuted in the US-only data, with the foreign-applicant confound out of the picture.**

NICE 009 (Electronics & Software) is NOT a US Asian- American enclave. Crucially, the high-tech-startup classes (009, 042 Scientific & Tech Services) do not appear on the US-only API enclave list. The Kerr/Saxenian high-skill-immigrant-tech-founder phenomenon is visible in patent data (21% $\rightarrow$ 41% API inventors) but not in trademark data. This is because tech founders trademark their corporate brand (LLC name) rather than their personal name, which the surname classifier cannot see.

(8) Patent guild HHI: US-only re-run

We download PatentsView `g_location_disambiguated.tsv` (1,089,000 disambiguated locations), join it to `g_inventor_disambiguated` via the `location_id` key, restrict to inventors with `country == 'US'`, and re-compute the inventor-surname HHI by (CPC class, decade). The US-resident inventor

NICE	Industry	Share in class	Over-index	Mean ΔKL
API enclaves (US-only, over-index ≥ 1.3, share $\geq 8\%$, n ≥ 200):				
043	Hotel/Restaurant/Food	12.9%	2.06	+0.072
011	Lighting/Heating	11.7%	1.87	+0.113
034	Tobacco	10.7%	1.71	+0.237
005	Pharmaceuticals	10.3%	1.64	+0.090
029	Meat/Fish/Dairy	10.3%	1.64	+0.023
018	Leather	9.7%	1.55	+0.033
021	Household Utensils	9.6%	1.52	+0.099
010	Surgical/Medical/Dental	9.5%	1.52	+0.066
008	Hand Tools	9.1%	1.45	+0.085
030	Coffee/Tea/Sugar	8.9%	1.43	+0.056
014	Jewelry	8.9%	1.42	+0.065
024	Fabrics	8.5%	1.36	+0.072
007	Machines	8.4%	1.34	+0.067
003	Cosmetics & Cleaning	8.4%	1.34	+0.071
026	Lace/Embroidery	8.3%	1.32	+0.206
Hispanic enclaves (same thresholds):				
033	Alcoholic Beverages	14.2%	1.47	+0.094
043	Hotel/Restaurant/Food	13.6%	1.40	+0.072

Table 8: US-only ethnic enclaves identified by the surname classifier. Every cell runs on positive ΔKL , mostly in the +0.07 to +0.10 range – meaningfully above the non-enclave baseline of +0.018 (API) and +0.021 (Hispanic). N-weighted enclave-vs-non-enclave difference is +0.059 (API) and +0.057 (Hispanic). Even with the foreign-applicant confound stripped, US ethnic enclaves are on the innovation tail, not the harvest tail.

table contains 2,072,183 unique inventors with 1,671,509 matched Census surnames (80.7% match rate; slightly higher than the all-inventor rate because non-ASCII foreign surnames drop out).

CPC class	ΔHHI all	ΔHHI US-only	US shift
G09 (display, advertising)	+0.00630	−0.00033	−0.00663
H10 (semiconductor devices)	+0.00624	+0.00047	−0.00578
D06 (textile treatment)	+0.00613	−0.00050	−0.00663
G11 (memory / information storage)	+0.00347	+0.00065	−0.00283
G02 (optics)	+0.00293	−0.00001	−0.00295
C21 (iron metallurgy)	+0.00224	−0.00012	−0.00236
H01 (basic electrical elements)	+0.00220	+0.00003	−0.00217

Table 9: HHI change 1990s→2020s for the previously-rising CPC classes, all-inventor vs. US-resident-only. The US-only column is near-zero or negative for every class. The rising-HHI signal was Chinese-resident-inventor concentration, not a US guild dynamic.

The guild interpretation collapses. Every previously- rising CPC class is flat or falling in the US-only re-run. The Chinese-surname-clustering effect (Chinese surname diversity is $\sim 20\times$ lower than Western) accounted for essentially the entire all-inventor HHI rise in semiconductors, displays, optics, memory, and basic electrical. With US-resident inventors only, surname HHI is flat in these classes ($|\Delta HHI| < 0.001$ across the four-decade window). **There is no patent-side guild signal in US-resident inventor data** at the CPC-class level of resolution we tested.

Top 8 rising-HHI CPC classes: all-inventor vs US-resident-inventor HHI

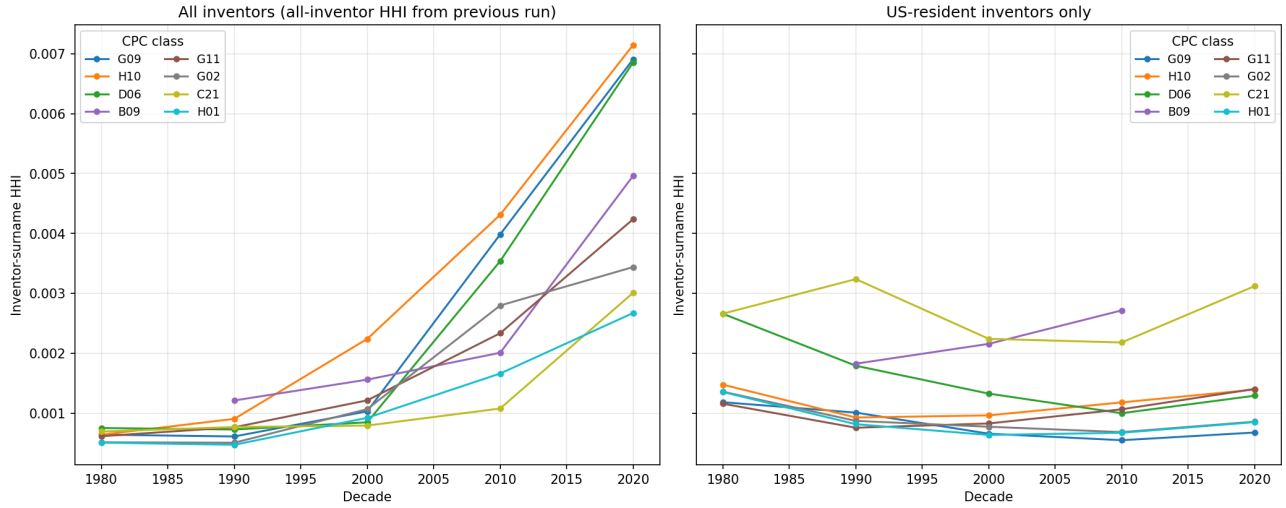


Figure 10: Surname-HHI trajectories of the top-8 CPC classes by all-inventor HHI rise (1990s→2020s). Left panel reproduces the all-inventor result. Right panel restricts to US-resident inventors only. Every previously-rising class is flat or falling in the US-only data.

Where US-only HHI rose modestly: B06 (mechanical vibration/shock), G04 (horology), G11 (memory, still slightly up in US-only), B03 (separation of solids), D21 (paper-making), H10 (semi-conductors, much smaller rise), H03 (electronic basic). These are smaller-class niche fields; even the biggest US-only rise (B06, +0.00075) is about a tenth the magnitude of the all-inventor G09 rise.

Where US-only HHI fell (diversifying): A24 (tobacco, −0.00404), F03 (machines for liquids), G16 (information & communication technology, −0.00228), C05 (fertilizers), B28 (cement/stone), F17 (fluid storage), B64 (aircraft), E21 (earth drilling). G16’s continued fall in the US-only data is the Hsieh-Hurst-Jones-Klenow (2019) talent reallocation playing out in patent micro-data for US-resident inventors: ICT workforce broadened in surname diversity even when restricted to US inventors only, consistent with deep workforce expansion in that field.

(9) Black trademark-rise vs. patent-fall: a real divergence

Both sides US-only. US-domiciled Black trademark debut share rises across four decades; US-resident Black patent inventor share falls.

Period	TM White	PV White	TM Black	PV Black	TM API	PV API	TM Hisp	PV Hisp
1990–1999	76.2%	74.2%	11.4%	8.6%	4.0%	9.7%	5.6%	4.8%
2000–2009	72.1%	68.2%	12.0%	7.9%	5.4%	15.9%	7.7%	5.2%
2010–2019	67.5%	63.8%	13.2%	7.4%	6.6%	20.0%	9.9%	6.0%
2020–2024	62.0%	59.4%	15.7%	7.0%	7.1%	23.9%	12.3%	7.0%

Table 10: US-only surname-imputed ethnic composition of trademark debut filers (TM) and patent inventor debuts (PV) across decades. “TM” is restricted to US-domiciled trademark applicants per the re-parse address join; “PV” is restricted to US-resident inventors per the PatentsView location join.

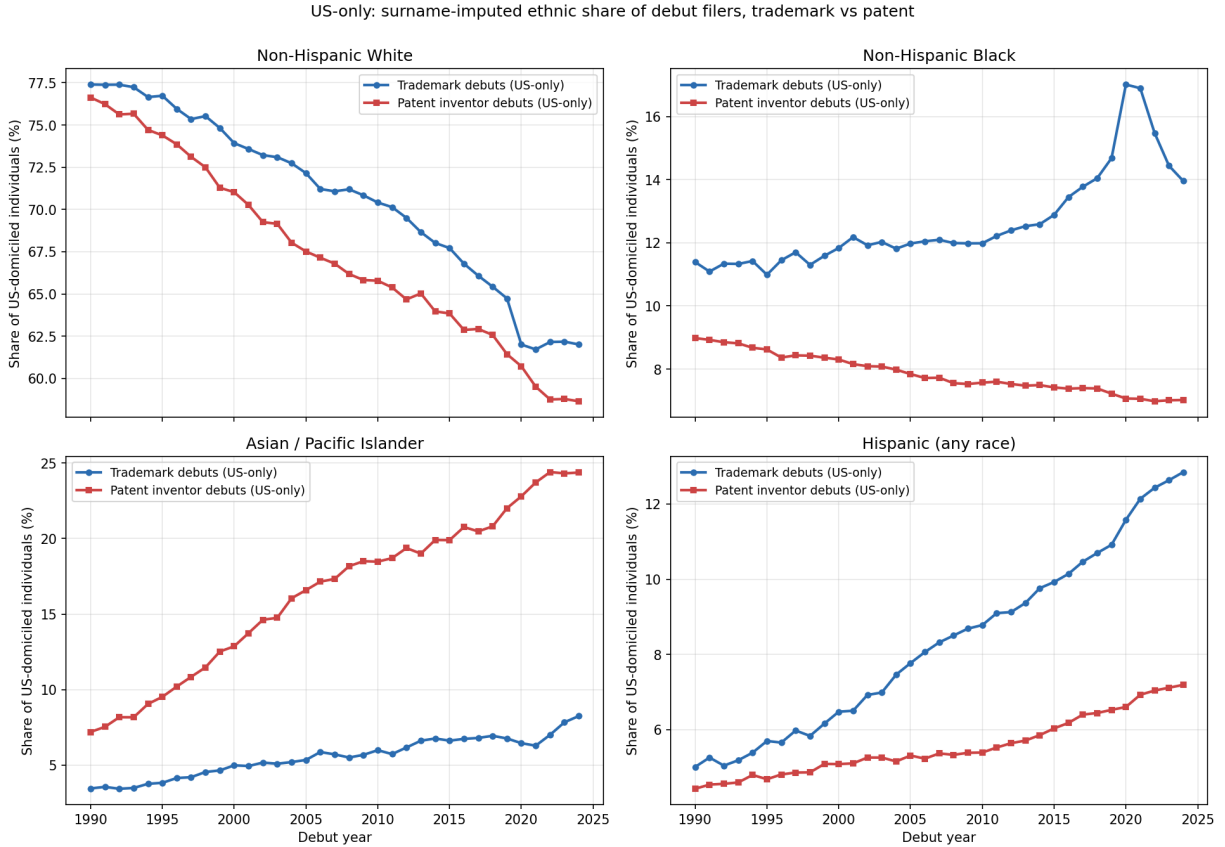


Figure 11: Four-panel comparison of US-only surname-imputed ethnic share over time: trademark debut filers (blue) vs. patent inventor debuts (red), for the four largest ethnic buckets.

Black: trademark up, patents down. Black trademark debut share rises from 11.4% (1990s) to 15.7% (2020–24); Black patent inventor share falls from 8.6% (1990s) to 7.0% (2020–24). The gap widens from +2.8pp to +8.7pp. This is a real divergence in formal innovation activity by US Black Americans: more brand/small-business filings, fewer (relative) patent inventions.

API: patents up, trademarks flat. The Kerr / Saxenian high-skill-immigrant story shows up unambiguously in US-*resident* patent inventor data: API share rises from 9.7% to 23.9% across thirty years, more than doubling. The same demographic is essentially invisible in the trademark data (4.0% → 7.1%, flat in absolute terms). This is consistent with the trademark surname classifier missing tech founders behind the LLC entity layer: Asian-American tech founders patent under their own names but trademark under their corporate brand names, which the surname classifier cannot see.

Hispanic and White: parallel slow shifts. Both trademark and patent Hispanic shares rise modestly (5.6% → 12.3% TM, 4.8% → 7.0% PV), consistent with the broad demographic shift in the US Hispanic population. Both Whites' shares fall as the non-White shares rise.

Caveats on the Black trademark rise.

- The biggest single-year jump in TM Black share is 2019→2020 (+5pp). This coincides with the pandemic-era surge in SBA-loan-receiving small-business formation. Some of the rise may be

SBA-PPP-related Black-owned LLC formations that filed trademarks at higher rates than the pre-pandemic baseline.

- The Census 2010 surname classifier has well-known accuracy limitations for Black surnames specifically: the most-common “Black” surnames (Smith, Johnson, Williams) are also the most-common White surnames, so the probability vector is mixed rather than discriminating. Bell, Chetty, Jaravel, Petkova, & Van Reenen (2019, *QJE*) use the Census surname approach for the same demographic question and document the same identification issue.
- The patent-side Black fall is documented in Cook (2014, *JEG*) and Bell et al. (2019): Black inventor share has been declining as the patent system has grown.

Interpretation. The trademark/patent divergence for Black Americans is consistent with a story where Black formal innovation activity has shifted toward consumer-facing brand formation (small businesses, DTC, services) and away from upstream R&D-intensive invention. The same demographic shows up in trademark filings – where the threshold is low (a \$250 filing fee) – but not in patent filings – where the threshold is high (corporate R&D job, attorney, multi-year prosecution). The divergence is a measurement of *which channel of formal innovation activity is accessible to which demographic*, not of total innovation effort.

(10) Decomposing the Black divergence by class

Note on calculation. Before reading these decompositions: the six surname-imputed shares (White, Black, API, Hispanic, Two+ races, AIAN) are independent weights derived from the Census 2010 surname file probabilities, which sum to ~ 100 per surname. Year-level shares sum to $\sim 99.6\%$ across all categories (the 0.4% deficit is from suppressed cells for small surnames). *Each ethnic share is computed directly from the Census probabilities, not derived from any other share.* The apparent visual inverse between White and API in earlier plots is the partition-sum constraint: when one share grows, the residual $\sim 100\%$ must absorb the loss across the other five. In the all-filings plot, Black/Hispanic/AIAN/Two+ stayed roughly stable while API surged from foreign filings, so the White share absorbed almost all of the constraint mechanically.

Trademark side: where the Black rise lives

NICE	Industry	n 1990s	n 2020s	Share 1990s	Share 2020s	Δn
025	Clothing & Footwear	12,572	54,717	12.7%	19.0%	+8,781
041	Education & Entertainment	11,383	40,170	12.0%	16.9%	+5,416
035	Advertising & Retail	7,240	25,955	11.0%	16.2%	+3,403
003	Cosmetics & Cleaning	2,679	11,846	10.9%	18.2%	+1,859
009	Electronics & Software	10,998	15,529	10.9%	14.2%	+1,013
036	Insurance & Financial	2,594	7,179	14.8%	15.7%	+745
030	Coffee/Tea/Sugar	2,447	6,477	11.2%	13.6%	+605
021	Household Utensils	1,708	5,713	11.0%	12.1%	+505
005	Pharmaceuticals	1,670	4,661	10.1%	12.0%	+392
040	Materials Treatment	351	2,545	9.8%	16.4%	+383

Table 11: Top 10 NICE classes by Black-debut-count growth, US-only data, 1990–99 vs 2020–24.

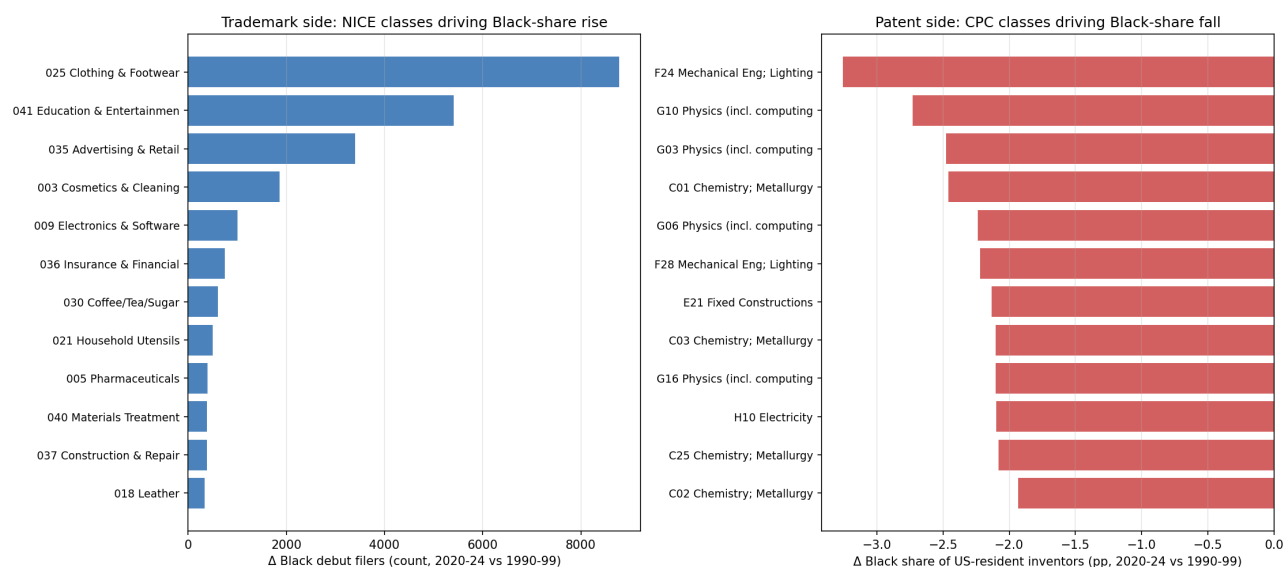


Figure 12: Decomposing the Black-American divergence. Left: top 12 NICE classes driving the trademark Black-share rise, ranked by absolute Black-debut count gain 1990–99 to 2020–24. Right: top 12 CPC classes driving the patent Black-share fall, ranked by absolute Black-inventor count loss over the same window.

The Black trademark rise is overwhelmingly consumer-facing brand formation. Clothing & Footwear (NICE 025) alone accounts for $\sim 30\%$ of the total Black-debut-count growth, with the within-class Black share rising from 12.7% to 19.0%. The fashion/streetwear/sneaker/athletic-apparel brand wave of the past two decades is unmistakable in the data. Add Entertainment (041), Advertising/Retail (035), and Cosmetics (003), and the four together drive over half of the total Black-debut rise. This is the post-pandemic DTC brand era playing out at the USPTO. Electronics & Software (009) is on the list but at a much smaller magnitude and a smaller share rise – the brand category where Black entrepreneurship has grown is consumer goods, not software-as-product.

Largest within-class share rises (not absolute count): NICE 026 Lace/Embroidery (+8.1pp), NICE 004 Oils & Fuels (+7.9pp), NICE 003 Cosmetics (+7.2pp), NICE 034 Tobacco (+6.9pp), NICE 040 Materials Treatment (+6.6pp), NICE 025 Clothing (+6.3pp). The Cosmetics and Tobacco rises are substantively large (Black-owned cosmetics brands and Black-owned cigar/cannabis labels). The Oils & Fuels rise is interesting and worth flagging – likely small-business energy/petroleum-products resellers and lubricant brands.

Patent side: where the Black fall lives

The Black patent fall is concentrated in traditional-engineering / physical-sciences classes. The biggest single-class loss is G01 (physics measurement & testing) at -778 inventors. H01 (basic electrical), A61 (medical/pharma), and C07 (organic chemistry) follow. These are the traditional industrial-research disciplines where Cook (2014, *Journal of Economic Growth*) documented historical Black inventor activity through the early-20th-century era. The biggest share-fall classes (-2pp to -3.25pp) are F24 (heating/HVAC), G10 (musical instruments), G03 (photography/optics), C01 (inorganic chemistry), G06 (computing), F28 (heat exchange), E21 (drilling), C03 (glass). The post-1990 fall is broad-based across physical-sciences and engineering CPCs, not concentrated in one sub-field.

CPC	Section	n 1990s	n 2020s	Share 1990s	Share 2020s	Δn
G01	Physics measurement/testing	18,234	10,958	8.2%	6.6%	-778
H01	Basic electrical elements	14,191	5,774	7.8%	6.0%	-755
A61	Medical or veterinary	27,190	23,713	8.4%	7.1%	-599
C07	Organic chemistry	11,727	5,017	7.5%	6.0%	-573
B65	Conveying/packaging	8,284	3,231	8.9%	8.4%	-463
A63	Sports/games	7,517	3,424	9.3%	8.9%	-391
A01	Agriculture	7,351	3,958	9.6%	8.4%	-374
A47	Furniture/household	7,709	3,849	9.6%	9.6%	-372
F16	Engineering elements	6,797	3,117	8.6%	7.8%	-342
B60	Vehicles	8,860	6,514	8.9%	7.2%	-324
G11	Memory/information storage	3,882	709	7.1%	5.2%	-238
C08	Polymers	4,327	1,690	7.9%	6.6%	-233

Table 12: Top 12 CPC classes by Black-inventor-count loss, US-resident data, 1990–99 vs 2020–24.

The two channels are nearly mutually exclusive. The Black trademark rise lives in consumer-product NICE classes (Clothing, Entertainment, Cosmetics, Retail) where patent filing is uncommon for individual inventors. The Black patent fall lives in traditional-engineering CPC classes (Physics measurement, Basic electrical, Organic chemistry, Vehicles) where trademark filing is uncommon for individual inventors. The two demographics are doing different things, in different formal-innovation channels, and the channel that grew is the consumer-brand channel while the channel that shrank is the corporate-R&D channel. This is consistent with – and a measurement of – the documented collapse of Black representation in US corporate R&D departments (Bell et al. 2019).

(11) Within-firm ΔKL trajectory: debut is a spike, not a structural feature

For each US-domiciled owner with ≥ 3 clean filings, compute the debut ΔKL and the mean of subsequent filings’ ΔKL . The drift is subsequent_mean – debut. 670,361 US-domiciled owners have valid debut + subsequent ΔKL values; 100,309 of those parse as individual-name filers with a matched Census surname.

Ethnic	Enclave debut?	Debut sign	n	Mean debut	Mean subsequent	Mean drift
API	No	negative	2,220	-0.136	-0.033	+0.103
API	No	positive	2,343	+0.177	+0.087	-0.090
API	Yes	negative	836	-0.114	-0.034	+0.080
API	Yes	positive	1,351	+0.182	+0.081	-0.102
Black	No	negative	1,916	-0.137	-0.057	+0.080
Black	No	positive	1,930	+0.152	+0.066	-0.086
Hispanic	No	negative	3,301	-0.134	-0.041	+0.093
Hispanic	No	positive	3,547	+0.158	+0.071	-0.087
White	No	negative	38,432	-0.141	-0.053	+0.088
White	No	positive	41,016	+0.168	+0.073	-0.096

Table 13: Within-firm ΔKL drift after debut, by ethnic group, in-enclave status, and debut- ΔKL sign. The pattern is the same across every group: strong symmetric mean reversion toward zero. Enclave debut and non-enclave debut produce essentially identical drift magnitudes.

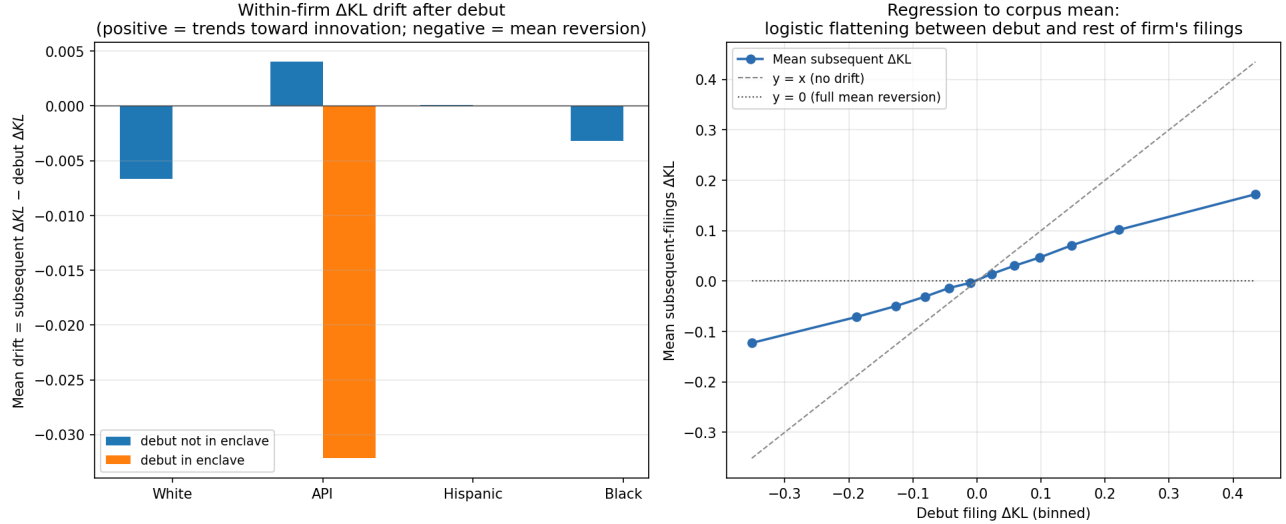


Figure 13: Left: mean within-firm ΔKL drift after debut, by surname-imputed ethnicity and whether the debut class is an enclave for that ethnicity. Right: pooled regression-to-mean check – mean subsequent ΔKL vs debut ΔKL bin, against a 45° reference (no drift) and a $y = 0$ reference (full mean reversion).

Three findings: (a) **The ΔKL signal is a debut-specific spike, not a structural feature of how the firm operates.** For every ethnic group and every debut-sign condition, mean drift is roughly ± 0.09 toward zero. A firm whose debut had $\Delta KL = +0.17$ files subsequent trademarks at $\Delta KL = +0.08$ on average; a firm whose debut had $\Delta KL = -0.14$ files subsequent at $\Delta KL = -0.04$. The drift is large relative to the original deviation – about 55–65% of the gap to zero closes by the firm’s later filings.

(b) **Enclave debut and non-enclave debut produce essentially identical drift.** API enclave debutants drift at -0.10 from positive-debut; API non-enclave drift at -0.09 . The ethnic-enclave-rooted firm does not sustain elevated ΔKL any more than the non-enclave firm. The cluster’s positive ΔKL we identified in Section (1) is a property of *which filing is the firm’s debut* – the firm registers a brand introducing new vocabulary – but the firm’s subsequent line extensions / brand variants regress to corpus mean like everyone else’s.

(c) **No ethnic group is the systematic outlier on drift.** The differences between groups are smaller than the within-group differences across enclave status. White (the largest group with $\sim 80K$ owners) drifts at $+0.088/-0.096$. Hispanic ($\sim 6.8K$ owners) drifts at $+0.093/-0.087$. Black ($\sim 3.8K$ owners) drifts at $+0.080/-0.086$, a hair smaller in magnitude but not meaningfully so. The corpus-mean-reversion process is ethnic-blind.

What this means for the cluster interpretation. The “Hispanic-Americans introduce *tequila*, *taqueria*, *birria* which the rest of the industry adopts” reading from Section (1) is consistent with this: the introduction happens at the firm’s debut filing, and once the term has been introduced, the firm’s subsequent filings sit in vocabulary that has now spread through the corpus and is no longer novel. The vocabulary export is a debut-level phenomenon. The firm does not keep introducing new vocabulary at the same rate after its first filing – it has already done its work.

Honest framing. This is not a story about “the firm stops innovating.” It is a story about how the ΔKL measure works: ΔKL measures one filing’s vocabulary against the recent past and near future of its NICE class. Once a firm has contributed a novel term, subsequent filings either re-use that term (now part of the recent past) or introduce additional terms that are typically less radical than the

first one. The drift toward zero is the expected behaviour of the measure under serial filing, not a behavioural decline of the firm. The right way to read the firm-level claim is: *the first filing is the one that matters for measuring whether a firm is on the vocabulary-export side or the vocabulary-recycling side; the firm does not keep delivering at the same rate.*

What’s next

- Pre-pandemic-only check on the Black trademark rise: how much of the +4.3pp share rise survives if we restrict the “late” cohort to 2017–2019 rather than 2020–2024? If most of the rise is pandemic-era SBA / e-commerce / DTC formation, the pre-pandemic version will be smaller.
- Comparison to Census ASE / SBO administrative-data Black ownership shares for the same NAICS sectors via the NICE-NAICS crosswalk. ASE/SBO are the gold-standard for sectoral ownership; we can validate whether the trademark surname-imputed Black share matches the administrative number in the same NICE-mapped sectors.
- Bell et al. (2019) Black inventor-share decline by parent income decile – their result is that Black children with inventor-quality test scores are systematically less likely to become inventors than White children with the same scores; the gap is not in ability but in exposure. Our patent-side fall is consistent with their finding at the aggregate level; a more granular within-CPC-class test would extend their work.

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